

Notes: Goyal, Wahal, and Yavuz (JFE, 2026)

Picking partners: Manager selection in private markets

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1 Big picture

- **Question.** How do institutional investors (LPs) choose private-market managers (GPs) when the relevant choice set is not directly observed, and why do LPs invest so much in first-time or young GPs with little or no visible track record?
- **Setting.** The paper studies 61,602 capital commitments by 2,692 North American LPs to private-market funds between 1995 and 2019, using a curated LP-year-specific opportunity set of feasible GP-funds.
- **Core challenge.** In private markets, observed commitments reflect both *preferences* and the *opportunity set*. The latter is not observed in the data and may be shaped by rationing, commitment-size constraints, fund-type specialization, timing flexibility, and personal relationships.
- **Main methodological idea.** The authors construct economically grounded opportunity sets using institutional detail and then estimate selection regressions comparing chosen funds to nonchosen funds inside those feasible sets.
- **Main empirical result.** LPs chase past performance, but the incremental probability of selecting a *first-time* GP is about as large as that of selecting a GP in the highest past-performance quartile: 1.06% versus 1.02%, both relative to the lowest quartile.
- **Additional result.** Young GPs are also selected at high rates (0.76%). Prior investment is by far the strongest predictor of selection, and peer effects and local bias also matter.
- **Key interpretation.** The most plausible explanation for the high demand for first-time and young GPs is not superior expected performance, lottery-like upside, or access to future star funds. It is *pressure to invest*: LPs with strong demand for exposure to private markets move down the supply ladder when incumbent top GPs do not scale enough.
- **Economic takeaway.** Private-market selection is shaped not only by skill-chasing, but also by rationing and market-clearing frictions. The entry of new GPs appears to be one mechanism through which rising LP demand is absorbed.

2 Data and measurement (key objects)

2.1 Observed data and main sources

- **Core source.** The main data come from customized *Preqin* files on capital commitments, fund characteristics, GP identity, LP identity, assets under management, co-investment, and placement-agent use.
- **Sample period.** 1995–2019. The sample starts in 1995 so that backward-looking performance variables are not severely left-truncated.
- **Capital commitment file.** This file records LP commitments, fund vintage year, fund type, fund region, target and final fund size, LP domicile, and LP type.
- **Performance file.** Fund-level IRR and TVPI are used to classify GP past performance and to study whether first-time and young GPs actually outperform.

- **Additional datasets.**
 - *Fundmap* data on search consultants,
 - *CEM Benchmarking* data on target and actual private-market portfolio weights,
 - *RelSci* data on personal relationships between LP and GP personnel,
 - data on failed fundraising attempts from the Institute for Private Capital,
 - imputed failed follow-on fundraising attempts, and
 - SEC Form D filings to identify failed first-time fundraising attempts.
- **Geographic focus.** The paper restricts attention to North American LPs and GPs. LP and GP coverage are global in the raw data, but almost 92% of funds launched by North American GPs are North-America-focused.
- **Missing values.** Commitment sizes are missing for many records, but the main selection regressions do not rely on imputed commitments. Imputation is used only in selected exercises.

2.2 LPs, GPs, funds, and the object being chosen

- **Economic agents.**
 - **LPs** are institutional investors.
 - **GPs** are private-market managers that raise funds.
- **What is actually chosen?** Technically, an LP chooses a *fund*. But because the explanatory variables of interest are GP attributes, the paper refers to this as *GP selection*.
- **Fund types.** The sample includes buyout, venture capital, growth, distressed private equity, mezzanine, direct lending, real estate, natural resources, and infrastructure.
- **LP groups.** The paper aggregates the many Preqin LP categories into economically meaningful groups. For reporting, these are further collapsed into four broad types:
 - corporate pensions,
 - public pensions,
 - endowments and foundations, and
 - a miscellaneous group (including insurance companies, banks, and a small number of sovereign wealth funds).
- **Performance categories for GPs.**
 - **PastPerfLow, PastPerfQ2, PastPerfQ3, PastPerfHigh:** annual quartiles based on asset-weighted past IRR of prior funds.
 - **FirstTime:** a GP raising its first fund.
 - **Young:** a GP not classified as first-time but still within the first five years of its life.
 - **PastPerfMiss:** older GPs whose past performance is missing in Preqin.

2.3 Opportunity sets: the key measurement object

- **Central idea.** The paper does not assume that every LP can choose every GP. Instead, it constructs an *opportunity set* for each LP-year.
- **Starting point.** For each LP-year, the authors first collect all funds — including failed fundraising attempts — whose closing dates lie in a window around the LP’s actual commitment dates.
- **Then they apply five types of restrictions or allowances.**
 1. **Access restrictions.**
 - Small LPs may be barred from very large GPs.
 - For small LPs, a GP whose prior fund was oversubscribed can be excluded.
 2. **Commitment-size restrictions.**
 - Extreme mismatches between LP historical commitment size and GP historical commitment size are excluded.
 - An LP is excluded if its historical median commitment would exceed 13% of the target fund size.
 3. **Fund-type restrictions.**
 - Large LPs may choose across all fund types.
 - Small LPs are generally restricted to fund types they have already used or are using in the current year.
 4. **Timing flexibility.**
 - The choice window is wider for large LPs and narrower for small LPs.
 5. **Personal relationship allowances.**
 - Certain commitment-size restrictions are relaxed when there is a personal relationship between LP and GP personnel.
- **Why this matters.** The whole empirical design rests on comparing selected funds with nonselected funds *inside* these opportunity sets. Without a credible opportunity set, coefficients cannot be interpreted as selection probabilities.

2.4 Key descriptive facts

- **LP side (Table 1).**
 - 2,692 LPs in total.
 - 61,602 commitments.
 - Public pensions account for 21,310 commitments, with a median commitment size of about \$30 million and aggregate commitments of about \$1.217 trillion.
 - Endowments and foundations are the largest LP group by count, but much smaller in assets than public pensions.
- **Fund side (Table 2).**

- 7,939 funds in total.
- The median fund size is \$407 million.
- Traditional private equity (buyout, growth, venture) accounts for 4,406 funds and over half of aggregate commitments in dollar terms.
- **By GP performance status (Table 2, panel B).**
 - Median fund size rises from \$380 million for PastPerfLow to \$738 million for PastPerfHigh.
 - First-time funds are much smaller, with median size \$177 million.
 - Young GP funds have median size \$307 million.
 - First-time GPs receive 8,479 commitments totaling about \$206 billion.
 - First-time and young GPs together attract 25,942 commitments totaling about \$715 billion.
- **Opportunity set size (Table 3).**
 - Average number of commitments per LP-year: 4.
 - Average number of funds in the opportunity set: 369.
 - Of these, 90 are failed funds and 279 are successfully raised funds.
 - On average, the opportunity set contains 95 first-time GP-funds and 159 young GP-funds.
- **Large versus small LPs (Table 3).**
 - Large LPs average 8 commitments per year and face opportunity sets of 905 funds.
 - Small LPs average 3 commitments and face opportunity sets of 248 funds.

2.5 Unobservables and timing

- **Unobserved choice-set problem.** The feasible set of funds is not directly observed. This is the main identification challenge of the paper.
- **Soft information.** LPs may observe private details from offering documents, discussions, due diligence, reputation, or personal networks that do not appear in the data.
- **Timing.**
 1. LPs determine allocations and search in a given year.
 2. They face a set of currently or near-currently fundraising funds.
 3. They select one or multiple commitments, potentially across fund types.
- **Interpretation.** The empirical analysis therefore focuses on the *relative frequency* with which funds having certain attributes appear among chosen funds versus among feasible nonchosen funds.

3 Models and empirical specifications (all equations + interpretation)

3.1 Baseline discrete-choice framework

The paper starts from a standard random-utility framework in which LP i evaluates GP/fund j according to

$$U_{ij} = f(X_{1j}, X_{2ij}, \gamma_i),$$

where:

- X_{1j} are GP/fund characteristics,
- X_{2ij} are LP-GP match characteristics, and
- γ_i is LP-specific baseline utility from private-market investing.

Interpretation. If the feasible choice set were fully observed, one could estimate a standard discrete-choice model. The core difficulty is that in private markets the opportunity set itself is latent.

3.2 Why not estimate a full matching model?

- The environment is naturally many-to-many:
 - an LP can invest in many GPs,
 - a GP can receive money from many LPs.
- In principle, one could think of a two-sided matching model with rationing and limited access.
- In practice, many-to-many matching with nontransferable utility is difficult to estimate and computationally infeasible at this scale.
- The paper therefore uses the matching intuition to *construct feasible sets*, but estimates a tractable selection model on top of those sets.

3.3 LP-year opportunity-set construction

For each LP-year, the authors begin with all funds raising capital in a time window around the LP’s observed commitments, then apply the opportunity-set restrictions described in Section 2.

This construction is the paper’s key “model” of the choice set:

- it translates institutional detail into feasible alternatives,
- it allows for rationing by elite GPs,
- it imposes commitment-capacity and fund-type restrictions, and
- it allows choice sets to vary with LP size, prior history, and personal ties.

Interpretation. Rather than solve a structural equilibrium matching problem, the paper engineers a realistic feasible set and then studies choice behavior conditional on that set.

3.4 Selection regression

The main estimating equation is

$$Y_{i,j,g} = \gamma_1 \text{FirstTime}_g + \gamma_2 \text{Young}_g + \gamma_3 \text{PastPerfMiss}_g + \gamma'_4 [\text{PastPerfQ2}_g, \text{PastPerfQ3}_g, \text{PastPerfHigh}_g] \\ + \gamma_5 \text{PriorInv}_{i,g} + \gamma_6 \text{PeerInv}_{i,g} + \gamma_7 \text{Local}_{i,g} + \gamma_8 \ln(\text{GPSize}_g) + FE_i + FE_{fr} + e_{i,j,g},$$

where the omitted group is **PastPerfLow**.

Here:

- $Y_{i,j,g} = 1$ if LP i selects fund j of GP g and 0 otherwise,
- **PriorInv** indicates past investment by that LP in the GP,
- **PeerInv** indicates past investment by a peer LP in the GP,
- **Local** indicates LP and GP are headquartered in the same state, and
- $\ln(\text{GPSize})$ captures GP scale.

The preferred specification uses:

- LP $\times$ Year fixed effects, and
- FundRegion $\times$ FundType $\times$ VintageYear fixed effects.

Interpretation. Since failed funds are included in the opportunity set, the coefficients can be read as *selection probabilities* rather than merely relative odds among successful funds.

3.5 Main coefficients and interpretation

In the preferred OLS specification:

- **FirstTime**: 1.06%
- **Young**: 0.76%
- **PastPerfHigh**: 1.02%
- **PriorInv**: 9.71%
- **PeerInv**: 0.58%
- **Local**: 0.98%
- $\ln(\text{GPSize})$: 0.50%

Interpretation.

- LPs strongly chase prior performance.
- But first-time GPs are selected just as often as top-quartile incumbent GPs.
- Reinvestment dominates everything else.
- Peer effects and local informational channels also matter.

3.6 Intermediaries, experience, and personal relationships

The paper enriches the baseline regression in three directions.

Search consultants and placement agents.

- Using a search consultant raises selection probability by about 0.72%.
- The interaction of search consultant use with **FirstTime** is modest: 0.16%.
- Placement agents raise selection by 0.91% overall, but the interaction with **FirstTime** is negative (−0.69%), implying only a small net extra effect for first-time GPs.

Rookie versus veteran first-time GPs. The authors split first-time GPs into:

- **Rookie:** no founding partner with prior private-markets experience,
- **Veteran:** at least one founder has prior private-markets or related financial-sector experience.

Estimated coefficients:

- **Rookie:** 0.94%
- **Veteran:** 1.01%
- **PastPerfHigh:** 0.94%

Interpretation. LPs do not select first-time GPs only because of founder pedigree. Even rookie GPs are selected at rates comparable to high-performing incumbents.

Personal relationships.

- **PersRel:** 0.54%
- **FirstTime × PersRel:** 0.42%

Interpretation. Personal relationships matter for all GPs, but they matter especially for first-time GPs.

3.7 Expected-performance model

To test whether first-time and young GPs are selected because LPs rationally expect high future returns, the paper estimates rolling predictive regressions for fund performance:

$$\begin{aligned} Perf_{j,\tau} = & \alpha_{0,t} + \alpha_{1,t}FirstTime_{j,v} + \alpha_{2,t}Young_{j,v} + \alpha_{3,t}PastPerfMiss_{j,v} \\ & + \alpha'_{4,t}[PastPerfQ2_{j,v}, PastPerfQ3_{j,v}, PastPerfHigh_{j,v}] + \alpha'_{5,t}FundType_{j,v} + e_{j,\tau}, \end{aligned}$$

where v is fund vintage year and τ is the year in which the fund's performance is observed.

The regressions are estimated with an expanding window and without look-ahead bias. Fitted values are interpreted as expected performance.

Interpretation. This step lets the authors separate “LPs invest in first-time GPs because they expect high returns” from the alternative explanation that selection is driven by demand pressure and market-clearing frictions.

3.8 Pressure-to-invest mechanism

The paper constructs a pressure-to-invest measure, **HighPres**, based on:

- how underweight an LP is relative to target allocations in a fund type, and
- how quickly the LP’s commitments in that fund type are growing.

The main interaction regression augments the baseline model with **HighPres** and interactions with performance categories.

Key coefficients:

- **FirstTime**: 1.69%
- **FirstTime** $\times$ **HighPres**: 0.97%
- **PastPerfHigh**: 2.13%
- **PastPerfHigh** $\times$ **HighPres**: 0.06%

So:

- under **high pressure**, first-time GPs have implied selection probability $2.66\% = 1.69 + 0.97$,
- while top-quartile GPs have implied selection probability $2.19\% = 2.13 + 0.06$.

Interpretation. LPs under pressure to invest are actually more likely to select first-time GPs than even top-quartile incumbents. This is the paper’s central mechanism result.

4 Identification and instruments (what makes the estimates credible)

4.1 What is hard to identify

- In standard discrete-choice settings, the analyst observes the full set of available alternatives. Here, that set is not observed.
- Observed commitments are jointly shaped by:
 - LP preferences,
 - access constraints,
 - GP rationing,
 - commitment-size compatibility,
 - timing flexibility, and
 - soft information or relationships.

- Therefore, raw comparisons of selected versus unselected GPs are not informative without modeling the opportunity set.

4.2 How the paper identifies selection behavior

- The paper identifies selection behavior by comparing chosen and nonchosen funds within the same LP-year-specific feasible set.
- This uses two-way exclusion restrictions:
 - some variables shift the **opportunity set** but are not in preferences,
 - some variables shift **preferences** but are not used to construct the opportunity set.
- Examples of variables mainly used to construct the feasible set:
 - oversubscription of prior funds,
 - LP/GP commitment-size compatibility,
 - LP size-based timing flexibility.
- Examples of variables mainly used as preference shifters:
 - first-time status,
 - young status,
 - peer investment,
 - local status,
 - past-performance quartiles.

Interpretation. The paper’s identification comes from disciplined institutional modeling of feasible sets, not from an exclusion restriction in the narrow IV sense.

4.3 Why coefficients can be interpreted as selection probabilities

- Because the opportunity set includes both *successful* and *failed* fundraising attempts, the comparison is not limited to winners among observed funded GPs.
- This means the dependent variable is literally a choice indicator within a feasible set.
- OLS with the relevant fixed effects therefore admits a direct probability interpretation, which is why the paper emphasizes coefficient magnitudes.

4.4 Why the first-time GP result is credible

The striking result that first-time GPs are selected as often as top-quartile incumbents survives many changes in design:

- removing access restrictions,
- restricting rationing only to venture capital,
- redefining elite GPs using repeat-investor intensity,

- removing commitment-size restrictions,
- relaxing restrictions under personal relationships,
- altering fund-type restrictions,
- altering the definition of large LPs,
- restricting the sample to core fund types,
- including fund-of-funds,
- using interim performance instead of end-of-fund performance, and
- handling missing past performance differently.

Interpretation. The first-time GP result is not a fragile artifact of a particular choice-set construction.

4.5 Limitations

- Opportunity sets are curated, not directly observed.
- The model cannot capture all soft information in offering documents or private due diligence.
- Performance data may be missing or imperfectly measured.
- The analysis is North America focused.

But: the paper subjects the main result to many robustness exercises, and the central first-time/young GP finding remains intact.

5 Tables and figures

5.1 Table 1 and Table 2: who supplies and who receives capital

Table 1

Sources of capital.

	LPs				Commitments		
	N	AuM percentile (\$M)			N	Median	Total
		10th	50th	90th			
Corporate pensions (Corp. pensions)	420	931	5670	45,463	11,828	25	266
Public pensions (Publ. pensions)	405	713	9518	79,136	21,310	30	1217
Endowments & Foundations (E & F)	1106	90	678	6946	16,229	12	184
Miscellaneous (Misc.)	761	662	13,228	261,086	12,235	15	389
All LPs	2692	274	5062	80,200	61,602	25	2224

Public pension systems comprise state, municipality, city, and public worker pension systems. Endowments and Foundations include both public and private organizations. The miscellaneous group includes insurance companies, banks, and two sovereign wealth funds. The table reports the number of LPs and the 10th, 50th, and 90th percentile of their assets under management (AuM), in \$ million, at the end of the sample period for each LP. The table also reports the number of capital commitments, the median commitment size (in \$ million), and total value of all commitments (in \$ billion). Since the dollar value of capital commitments is only available for a subsample, total commitments include imputed values, as described in the text. The sample consists of capital commitments by North American LPs between 1995 and 2019 to private market funds.

Table 2
Destination of capital.

	Funds/GPs				Commitments			# commitments
	N	Percentile fund size (\$M)			N	Median \$M	Total \$B	per fund/GP
		10th	50th	90th				
Panel A: Fund type								
Buyout	1811	106	644	4000	19,330	28	764	23
Direct lending	273	200	670	2300	1121	43	62	16
Distressed PE	362	250	1000	3241	4499	30	157	33
Growth	565	100	390	1500	3474	23	94	17
Infrastructure	207	100	517	4500	2062	40	101	13
Mezzanine	341	90	261	1250	2375	17	66	15
Natural resources	360	150	500	2000	4282	25	119	20
Real estate	1990	100	400	1584	12,856	30	518	13
Venture	2030	25	180	700	11,403	12	174	15
Total	7939	75	407	2400	61,602	25	2056	16
Panel B: Past GP performance								
PastPerfLow	186	123	380	1265	1133	25	38	15
PastPerfQ2	457	100	477	2300	3866	28	140	17
PastPerfQ3	832	180	725	4250	10,439	30	433	24
PastPerfHigh	955	170	738	5000	14,261	30	562	25
FirstTime	2209	23	177	666	8479	16	206	25
Young	2583	70	307	1250	17,463	20	509	15
PastPerfMiss	717	91	340	1390	5961	20	168	17
Total	7939	75	407	2400	61,602	25	2056	16

The first column report the number of funds receiving commitments in our sample. The second, third and fourth columns report the 10th, 50th, and 90th percentile of distribution of fund size in \$ million for funds raised in the last 5 years of the sample period (2015–2019). The fifth, sixth and seventh columns report number of capital commitments, the median commitment size (in \$ million), and total value of all commitments (in \$ billion), respectively. The total value of commitments includes imputed values, as described in the text. The last column shows # commitments per fund/GP, calculated as the ratio of median fund/GP size to the median commitment size. Panel A reports these statistics by fund type. Panel B reports them based on past GP performance at the time a fund receives a capital commitment. For GPs with available past IRRs, we rank GPs into performance quartiles using asset weighted past IRR each year. These quartiles are labeled PastPerfLow, PastPerfQ2, PastPerfQ3, and PastPerfHigh. GPs without past performance fall into three categories: (1) First-time GPs (labeled FirstTime) are those raising capital for their first fund. (2) Young GPs are those who are not identified as FirstTime but are raising subsequent funds in the first five years of their life. (3) PastPerfMiss consists of a residual group of GPs that are more than five years old but their performance data is missing in Preqin.

Read:

- Table 1 shows the scale and composition of LP capital. Public pensions dominate in dollars and commitment counts, even though endowments and foundations are more numerous.
- Table 2 shows where the capital goes. Fund size and total commitments rise strongly with past GP performance, but first-time and young GPs still receive a surprisingly large number of commitments.
- The crucial pattern is this: first-time GPs are small in size but not small in investor attention. They attract 8,479 commitments and about \$206 billion.
- This is the first hint that LP behavior cannot be explained by simple performance chasing alone.

5.2 Table 3 and Table 4: opportunity sets and baseline selection behavior

Table 3

Opportunity set statistics.

	All		LP type				LP size	
		Corp. pensions	E & F	Publ. pensions	Misc.		Small	Large
# Commitments	4	4	3	6	3		3	8
Number of funds								
All	369	384	237	459	497		248	905
By existence								
Failed	90	88	56	123	119		59	226
Raised	279	296	181	337	379		189	679
By performance								
FirstTime	95	103	76	104	113		78	170
Young	159	169	108	192	207		115	354
PastPerfLow	8	8	4	12	13		4	27
PastPerfQ2	18	18	8	26	28		8	60
PastPerfQ3	26	25	11	39	42		11	94
PastPerfHigh	28	26	11	43	46		11	106
By other								
PriorInv	14	15	8	26	13		9	39
PeerInv	114	129	47	158	174		53	383
Local	21	22	15	26	27		14	52

We construct an opportunity set for each LP-year using the procedure described in Section 4.2. This table provides summary statistics for the opportunity sets. The first row (# commitments) is the average number of commitments made by an LP in an year. The rest of the table shows the average number of funds in the opportunity set. Failed funds are those that failed to raise capital (see Section 3.1 for details). Raised funds are the funds that successfully raised capital around the time of commitment. The performance categories are defined in Table 2. The other categories are defined as follows. PriorInv includes fund in which the LP had previously committed capital to the GP. PeerInv includes funds in which peer institutions previously committed capital to the GP. Local funds are those for which the LP and GP are headquartered in the same state (in the case of Canadian LPs, local funds correspond to Canadian GPs). We report statistics for the overall sample as well as for different types of LPs (as described in Table 1) and for LPs of different sizes. An LP is defined as Large if its assets under management are in the top decile and Small otherwise. The sample consists of capital commitments by North American LPs between 1995 and 2019 to private market funds.

Table 4

Selection regressions.

	Clogit		OLS		
	(1)	(2)	(3)	Intermediary =	
				Cons (4)	PA (5)
FirstTime	1.46 (35.88)	1.15 (38.56)	1.06 (10.32)	1.06 (10.30)	1.09 (10.48)
Young	0.70 (19.01)	0.86 (30.03)	0.76 (7.62)	0.76 (7.62)	0.76 (7.56)
PastPerfMiss	0.65 (17.25)	0.84 (27.39)	0.71 (6.15)	0.71 (6.17)	0.68 (5.96)
PastPerfQ2	0.41 (10.78)	0.39 (11.88)	0.30 (2.35)	0.30 (2.36)	0.27 (2.17)
PastPerfQ3	0.27 (7.47)	0.54 (15.31)	0.49 (4.07)	0.49 (4.09)	0.43 (3.55)
PastPerfHigh	0.58 (15.86)	1.08 (27.56)	1.02 (6.88)	1.02 (6.89)	0.99 (6.69)
PriorInv	1.47 (60.68)	9.54 (89.67)	9.71 (24.21)	9.70 (24.19)	9.72 (24.25)
PeerInv	1.18 (66.59)	0.60 (47.54)	0.58 (15.94)	0.58 (15.88)	0.55 (15.48)
Local	0.81 (43.39)	0.99 (30.54)	0.98 (17.06)	0.97 (17.00)	0.97 (17.02)
LnGPSize	0.59 (91.21)	0.42 (69.63)	0.50 (12.62)	0.50 (12.62)	0.47 (12.13)
Intermediary	–	–	–	0.72 (12.18)	0.91 (12.25)
FirstTime × Intermediary	–	–	–	0.16 (1.66)	–0.69 (–8.03)
FE	a	a	b	b	b

This table present results of conditional logit (Clogit) or OLS regressions in which the dependent variable is equal to one if an LP commits capital to a fund of a GP, zero otherwise. Most of the independent variables are defined in Tables 2 and 3. There are two additional independent variables representing intermediaries: (1) Cons is an indicator variable equal to one if the capital commitment by the LP used a search consultant, and zero otherwise. (2) PA is an indicator variable equal to one if the GP used a placement agent, and zero otherwise. Fixed effects in columns (1) and (2) labeled 'a' are LP × Year; and in columns (3) to (5) labeled 'b' are LP × Year and FundRegion × FundType × VintageYear. *t*-statistics are based on standard errors clustered using the same grouping as fixed effects. All OLS coefficients are multiplied by 100. The number of observations is 6,179,652 corresponding to an unconditional probability of selection of 1% (61,602/6,179,652). The sample consists of capital commitments by North American LPs between 1995 and 2019 to private market funds.

Read:

- Table 3 makes the scale of the latent-choice-set problem concrete. The average LP-year opportunity set includes 369 funds, of which 90 are failed funds and 279 are raised funds.
- Large LPs face much larger feasible sets than small LPs (905 versus 248 funds), which validates the paper's emphasis on heterogeneity in timing and fund-type flexibility.
- Table 4 is the empirical centerpiece. It shows:
 - monotonic performance chasing from PastPerfLow to PastPerfHigh,
 - a huge effect of prior investment,
 - meaningful peer and local effects, and
 - the headline result that **FirstTime** (1.06%) is essentially equal to **PastPerfHigh** (1.02%).
- The novelty is not that LPs like past performance; everyone expected that. The novelty is that they like first-time GPs almost as much as the very best incumbents.

5.3 Table 5, Table 6, and Table 7: why the first-time result is not a fluke

Table 5
Selection regressions with GP experience and personal connections.

	(1)	(2)	(3)	(4)
FirstTime	–	–	–	1.07 (10.36)
Rookie	0.94 (9.40)	0.95 (9.04)	0.95 (9.04)	–
Veteran	1.01 (9.82)	1.00 (9.81)	1.00 (9.80)	–
VeteranPE	–	–0.03 (–0.52)	–0.06 (–1.18)	–
VeteranPELarge	–	–	0.11 (1.91)	–
Young	0.67 (6.96)	0.67 (6.95)	0.67 (6.95)	0.78 (7.76)
PastPerfMiss	0.62 (5.44)	0.62 (5.42)	0.62 (5.43)	0.72 (6.31)
PastPerfQ2	0.22 (1.75)	0.21 (1.74)	0.21 (1.74)	0.30 (2.35)
PastPerfQ3	0.40 (3.39)	0.40 (3.38)	0.40 (3.39)	0.49 (4.05)
PastPerfHigh	0.94 (6.52)	0.93 (6.52)	0.94 (6.53)	1.02 (6.84)
PriorInv	9.71 (24.21)	9.71 (24.21)	9.71 (24.21)	9.69 (24.21)
PeerInv	0.57 (15.78)	0.57 (15.78)	0.57 (15.81)	0.57 (15.49)
Local	0.98 (17.09)	0.98 (17.09)	0.98 (17.09)	0.97 (17.03)
LnGPSize	0.50 (12.58)	0.50 (12.58)	0.50 (12.58)	0.49 (12.56)
PersRel	–	–	–	0.54 (5.70)
FirstTime × PersRel	–	–	–	0.42 (2.42)

This table present results of OLS regressions in which the dependent variable is equal to one if an LP commits capital to a fund of a GP, zero otherwise, similar to those in specification (3) of Table 4 with additional variables. Rookie is equal to one if this is the GP's first fund and no founding partner has prior private equity experience. Veteran is equal to one if this is the GP's first fund and at least one of the founding partners has prior experience in (a) a private markets firm, or (b) a non-private markets firm that engages in private market like activity (e.g., corporate venture capital), or (c) a financial and/or real estate firm. VeteranPE is equal to one if this is the GP's first fund and at least one of the founding partners had experience in a private equity firm. VeteranLargePE is equal to one if this is the GP's first fund and at least one of the founding partners had experience in a large private equity firm (where large is defined as a firm that ranks in the highest quartile of all private equity firms in terms of current assets under management in the year of fund raising). PersRel is an indicator variable equal to one if there is a personal relationship between the GPs and LPs, and zero otherwise. Fixed effects are based on LP × Year and FundRegion × FundType × VintageYear. *t*-statistics are based on standard errors clustered using the same grouping as fixed effects. All coefficients are multiplied by 100. The sample consists of capital commitments by North American LPs between 1995 and 2019 to private market funds.

Read:

- Table 5 shows that both *rookie* and *veteran* first-time GPs are selected at high rates. This weakens a simple “spinout pedigree only” explanation.
- Personal relationships matter, especially for first-time GPs, but they do not explain away the baseline result.
- Table 6 shows robustness to alternative opportunity sets. In most variants, the first-time coefficient remains comparable to or larger than the highest-past-performance coefficient.
- Table 7 shows LP heterogeneity. The preference for first-time GPs is stronger for public pensions,

Table 6
GP selection regressions with varying opportunity sets and different samples.

	Alternative opportunity sets								Different samples	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
FirstTime	0.81 (13.59)	0.86 (12.71)	1.07 (10.28)	1.06 (10.59)	1.04 (10.31)	0.81 (9.42)	1.18 (10.19)	0.92 (10.40)	0.98 (10.47)	0.82 (6.97)
Young	0.53 (10.03)	0.58 (9.24)	0.77 (7.62)	0.76 (7.90)	0.73 (7.51)	0.58 (6.83)	0.85 (7.30)	0.64 (7.51)	0.69 (7.66)	0.52 (4.93)
PastPerfMiss	0.46 (7.60)	0.51 (7.14)	0.72 (6.17)	0.71 (6.40)	0.68 (6.09)	0.52 (5.47)	0.79 (6.17)	0.57 (5.98)	0.62 (6.11)	0.53 (4.20)
PastPerfQ2	0.18 (2.81)	0.21 (2.73)	0.31 (2.37)	0.30 (2.40)	0.29 (2.32)	0.23 (2.12)	0.34 (2.32)	0.28 (2.55)	0.29 (2.53)	0.20 (1.43)
PastPerfQ3	0.25 (4.28)	0.28 (4.05)	0.50 (4.17)	0.46 (4.01)	0.48 (4.05)	0.38 (3.59)	0.59 (4.31)	0.41 (4.08)	0.44 (4.14)	0.46 (3.08)
PastPerfHigh	0.46 (6.38)	0.53 (6.36)	1.05 (6.95)	0.96 (6.78)	0.99 (6.87)	0.86 (6.54)	1.22 (7.22)	0.83 (6.54)	0.89 (6.69)	0.94 (6.04)
PriorInv	10.76 (24.63)	10.65 (24.93)	9.69 (24.22)	9.85 (24.52)	9.78 (24.29)	9.60 (23.12)	9.67 (24.57)	9.81 (23.88)	9.79 (24.07)	11.62 (20.40)
PeerInv	0.25 (12.28)	0.28 (12.67)	0.59 (16.01)	0.54 (15.48)	0.56 (16.23)	0.47 (16.80)	0.65 (15.51)	0.43 (14.60)	0.47 (14.99)	0.42 (9.58)
Local	0.68 (17.31)	0.76 (15.70)	0.98 (17.08)	0.95 (17.12)	0.94 (16.81)	0.76 (17.89)	1.06 (17.43)	0.83 (16.80)	0.89 (16.90)	1.07 (14.73)
LnGPSize	0.21 (11.71)	0.25 (12.10)	0.50 (12.61)	0.47 (12.69)	0.49 (12.57)	0.41 (13.19)	0.56 (12.30)	0.44 (12.91)	0.46 (12.85)	0.47 (9.10)
# obs '000	8775	8079	6197	6282	6428	8337	5078	7603	6866	3942
Prob	0.70	0.76	1.00	0.98	0.96	0.74	1.10	0.83	0.90	0.97

This table present results of OLS regressions in which the dependent variable is equal to one if an LP commits capital to a fund of a GP, zero otherwise, similar to those in model (3) of Table 5, except that we use different opportunity sets in columns (1) to (9) and different samples in columns (10) to (12) as follows. Specification (1) removes all access restrictions, defined as (1a) and (1b). Specification (2) only imposes access restrictions for VC funds. Specification (3) adds an additional access restriction, where only large LPs are allowed to invest in elite GPs, who are defined as those whose prior fund had at least 80% repeated investments by LPs and had at least 4 LPs. Specification (4) removes restrictions associated with commitment size and the ratio of commitment size to target fund size (restrictions (2a) and (2b)). In specification (5) all access restrictions (and remaining commitment size constraints) are relaxed if there is a personal relationship. Specification (6) removes all fund type restrictions on the opportunity set (3b). Specification (7) requires that large LPs are also subject to fund type restrictions (3a). Specification (8) changes the definition of large LP to be those above the 70th percentile. Specification (9) changes the definition of large LP to be those above the 80th percentile. Specification (10) restricts the sample to commitments to venture capital, buyout and growth funds. Specification (11) includes fund-of-funds in both selected funds and the opportunity set. Specification (12) uses a sample of non-North American LPs investing globally (includes international funds in both selected funds and the opportunity set). Fixed effects are based on LP × Year and FundRegion × FundType × VintageYear. *t*-statistics are based on standard errors clustered using the same grouping as fixed effects. All coefficients are multiplied by 100. The number of observations in '000 and the unconditional probability of selection are reported in the last two rows. The sample in columns (1) to (11) consists of capital commitments by North American LPs between 1995 and 2019 to private market funds.

Table 7
Selection regressions for LPs with and without investment committees, LP size, LP experience, and LP type.

	By expertise (IC)		By size		By experience		By type			
	Yes	No	Large	Small	1	≥2	Corp. pensions	E & F	Publ. pensions	Misc.
FirstTime	1.26 (10.30)	0.77 (0.89)	1.05 (12.96)	1.08 (6.29)	1.10 (11.17)	1.06 (10.21)	0.89 (6.88)	0.83 (4.88)	1.62 (10.00)	0.70 (11.97)
Young	0.95 (8.06)	0.48 (5.70)	0.71 (10.64)	0.62 (3.58)	0.26 (1.26)	0.78 (7.77)	0.65 (5.13)	0.45 (2.66)	1.25 (8.09)	0.39 (7.40)
PastPerfMiss	0.86 (6.52)	0.47 (4.68)	0.32 (7.32)	0.58 (2.92)	0.62 (2.37)	0.71 (6.20)	0.56 (4.19)	0.56 (2.74)	1.02 (6.26)	0.36 (5.86)
PastPerfQ2	0.35 (2.38)	0.23 (1.97)	0.22 (2.85)	0.32 (1.32)	0.62 (1.88)	0.29 (2.29)	0.31 (2.01)	0.06 (0.25)	0.56 (3.05)	0.14 (1.91)
PastPerfQ3	0.26 (3.92)	0.38 (3.71)	0.31 (3.75)	0.04 (4.05)	0.93 (2.83)	0.48 (3.94)	0.61 (3.93)	0.48 (1.96)	0.71 (3.84)	0.25 (3.50)
PastPerfHigh	1.26 (7.30)	0.65 (5.00)	0.55 (6.03)	2.27 (7.21)	0.78 (2.78)	1.03 (6.85)	0.98 (4.97)	1.87 (5.58)	1.38 (6.56)	0.34 (4.18)
PriorInv	9.43 (24.17)	10.28 (22.07)	9.07 (22.82)	9.17 (18.89)	–	9.75 (24.32)	8.86 (18.27)	10.82 (20.89)	9.16 (22.15)	9.12 (21.13)
PeerInv	0.63 (14.47)	0.52 (13.09)	0.17 (7.18)	1.19 (17.13)	1.04 (7.74)	0.56 (16.07)	0.40 (9.24)	1.21 (12.39)	0.63 (11.37)	0.26 (9.34)
Local	1.00 (14.05)	0.94 (16.95)	0.72 (11.91)	1.16 (17.25)	2.52 (10.11)	0.90 (16.37)	0.57 (8.91)	0.99 (12.86)	1.56 (11.82)	0.72 (13.25)
LnGPSize	0.54 (12.11)	0.44 (12.93)	0.27 (11.62)	0.86 (13.17)	0.68 (9.53)	0.49 (12.49)	0.57 (12.38)	0.78 (11.11)	0.55 (11.43)	0.27 (11.87)
# obs 1000	3653	2526	2793	3386	271	5908	1215	1505	1687	1774
Prob	1.11	0.83	0.83	1.13	0.96	1.00	0.97	1.08	1.26	0.69

This table presents results of OLS regressions in which the dependent variable is equal to one if an LP commits capital to a fund of a GP, zero otherwise, similar to those in specification (3) of Table 4. Regressions are estimated separately for LPs with and without investment committees (ICs). LPs are classified as Large and Small based on the 90th percentile of the distribution of assets under management. LP experience is measured by counting the prior number of investments in private markets (1 and ≥2) at the time of the capital commitment. Fixed effects are based on LP × Year and FundRegion × FundType × VintageYear. *t*-statistics are based on standard errors clustered using the same grouping as fixed effects. All coefficients are multiplied by 100. The number of observations (in '000) and the unconditional probability of selection are reported in the last two rows. The sample consists of capital commitments by North American LPs between 1995 and 2019 to private market funds.

for some large LPs, and for LPs making their first private-market commitments. Endowments look more conventional: they value PastPerfHigh much more strongly than FirstTime.

5.4 Table 8 and Table 9: expected returns, realized returns, and the toehold story

Table 8
Excess performance and selection.

	Panel A: Expected excess performance		Panel B: Realized excess performance		Panel C: Selection regression
	N	Mean	N	Mean	
FirstTime	2023	−1.65 (−3.23)	806	−1.08 (−1.91)	0.44 (9.85)
Young	2360	−1.99 (−10.05)	1257	−0.94 (−2.43)	0.24 (4.98)
PastPerfMiss	783	0.06 (0.12)	315	1.26 (1.57)	–
PastPerfLow	188	−3.74 (−4.05)	73	−3.19 (−2.34)	–
PastPerfQ2	396	5.01 (7.29)	173	−0.04 (−0.04)	−0.02 (−0.39)
PastPerfQ3	730	3.94 (9.18)	304	3.48 (1.46)	0.15 (1.82)
PastPerfHigh	861	4.45 (9.80)	318	2.63 (3.00)	0.27 (2.70)
PriorInv				8.93 (23.76)	
PeerInv				0.52 (14.75)	
Local				0.84 (16.64)	
Ln GPSize				0.46 (11.85)	

We calculate expected performance using Eq. (3). Using the fund-level expected performance, we compute excess average performance by subtracting the average performance of funds in the same type, region, and vintage year from a fund's expected performance. Panel A reports these averages. Panel B reports realized excess performance calculated as the difference between a fund's end-of-sample IRR and the average IRR of funds of the same type, geographic focus, and vintage year. In this panel, we require that more than five years elapse after the vintage year of the fund to be included in the sample. *t*-statistics for both panels are based on standard errors clustered at FundRegion × FundType × VintageYear appear in parentheses. Funds are placed into performance categories as defined in Table 2. Panel C presents results of OLS regressions in which the dependent variable is equal to one if an LP commits capital to a fund of a GP, zero otherwise, similar to those in specification (3) of Table 4, except past return quartiles are replaced with expected return quartiles. Fixed effects are based on LP × Year and FundRegion × FundType × VintageYear. *t*-statistics are based on standard errors clustered using the same grouping as fixed effects. All coefficients are multiplied by 100. The number of observations is 5,305,511 corresponding to an unconditional probability of selection of 0.94%. The sample consists of capital commitments by North American LPs between 1995 and 2019 to private market funds.

Table 9
Commitments to first-time GPs and their subsequent funds.

Fund sequence #	# of commitments			Average realized subsequent performance
	Total	To PastPerfHigh GPs	With realized subsequent perf	
1	8479	–	4825	−0.60 (−0.75)
2	2604	20	1598	−0.30 (−0.32)
3	1315	116	802	−0.41 (−0.39)
4	734	136	355	1.51 (1.41)
5	381	101	167	3.67 (1.67)
6	271	74	89	0.47 (0.31)
7	117	52	50	−2.60 (−0.60)

The table reports the number of commitments and the average performance of LP investments in various vintages of funds raised by first-time GPs (the unit of observation is an LP investment in a fund). The first row reports the performance of investments in the first fund raised by a first-time GP. For the LPs who invested in the first-time fund of a GP, each subsequent row reports the average performance of investments in subsequent funds of the same GP. Performance is based on end-of-life excess IRR. We compute excess IRR by subtracting the average IRR of funds in the same type, region, and vintage year from a fund's IRR. We require that more than five years elapse after the vintage year of the fund to be included in the sample. *t*-statistics based on standard errors clustered at FundRegion × FundType × VintageYear appear in parentheses.

Read:

- Table 8 rejects the simple “LPs expect first-time GPs to outperform” story.
 - FirstTime expected excess IRR: -1.65%
 - Young expected excess IRR: -1.99%
 - PastPerfHigh expected excess IRR: 4.45%
- Realized excess IRRs point in the same direction:
 - FirstTime: -1.08%
 - Young: -0.94%
 - PastPerfHigh: 2.63%
- Even after controlling for expected IRR, FirstTime and Young still retain positive selection coefficients. So the mystery is not just hidden expected performance.
- Table 9 rejects the “toehold into future star funds” story. Although many LPs initially commit to first-time GPs, very few later end up invested in funds of those GPs once they become star performers, and reinvestment performance is not systematically strong.

5.5 Figure 1, Figure 2, and Table 10: excess demand and pressure to invest

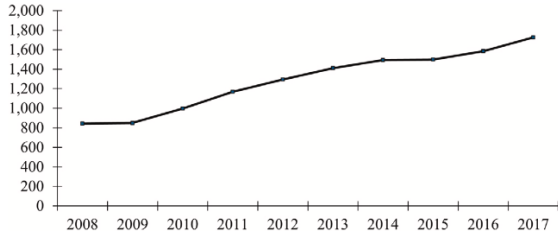


Fig. 1. PE allocations.

For each LP-year, Preqin reports the total dollar investment in private markets. We report the sum of these investments (in \$ billion) across all LPs over time.

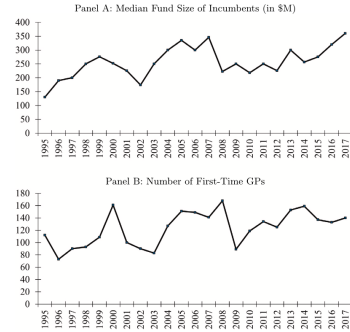


Fig. 2. Median fund size and the entry of new GPs.
Panel A shows the median fund size (in \$ million, rescaled by CPI in 2017 dollars) of incumbent funds in each vintage year. Panel B shows the number of new GPs (first-time GPs) in each vintage year.

Read:

- Figure 1 shows a steady increase in total LP allocations to private markets over time. Demand for private-market exposure rises strongly over the sample.
- Figure 2 shows that incumbent fund size does not rise enough over time to absorb all of this extra demand, while the number of new first-time GPs increases. This is the supply-side clue.
- Table 10 then connects the dots directly. LPs facing high pressure to invest are more likely to select first-time GPs than top-quartile incumbents.
- This is the cleanest evidence in the paper for the market-clearing interpretation: when demand for private-market exposure rises faster than incumbent supply expands, LPs move toward first-time entrants.

Table 10
Selection regressions and the pressure to invest.

	(1)	(2)	(3)
FirstTime	2.04 (10.60)	1.91 (9.84)	1.69 (8.21)
Young	1.47 (7.66)	1.46 (7.65)	1.18 (5.85)
PastPerfMiss	1.39 (6.57)	1.39 (6.57)	1.18 (5.18)
PastPerfQ2	0.62 (2.51)	0.62 (2.53)	0.48 (1.90)
PastPerfQ3	1.18 (5.19)	1.18 (5.20)	1.02 (4.11)
PastPerfHigh	2.15 (7.54)	2.15 (7.54)	2.13 (6.74)
PriorInv	13.71 (28.17)	13.71 (28.12)	13.69 (28.07)
PeerInv	1.13 (16.12)	1.13 (16.09)	1.13 (16.10)
Local	1.77 (19.71)	1.77 (19.68)	1.77 (19.67)
LnGPSize	0.94 (13.47)	0.94 (13.50)	0.94 (13.54)
HighPres	–	0.94 (10.97)	0.42 (2.38)
FirstTime × HighPres	–	0.42 (4.93)	0.97 (5.54)
Young × HighPres	–	–	0.72 (4.46)
PastPerfMiss × HighPres	–	–	0.51 (2.91)
PastPerfQ2 × HighPres	–	–	0.32 (1.78)
PastPerfQ3 × HighPres	–	–	0.38 (1.59)
PastPerfHigh × HighPres	–	–	0.06 (0.23)

This table presents results of OLS regressions in which the dependent variable is equal to one if an LP commits capital to a fund of a GP, zero otherwise, similar to those in specification (3) of Table 4, but including an additional variable. HighPres is an indicator variable equal to one if the LP faces pressure to invest in private markets (please see text for an exact definition). Fixed effects are based on LP × Year and FundRegion × FundType × VintageYear. *t*-statistics are based on standard errors clustered using the same grouping as fixed effects. Column (1) repeats the baseline specification (3) of Table 4 for the subsample for which we can construct the HighPres variable. All coefficients are multiplied by 100. The number of observations is 3,166,572 corresponding to unconditional probability of 1.84%. The sample consists of capital commitments by North American LPs between 1995 and 2019 to private market funds.

6 Short summary

- **Method.** The paper studies LP manager selection in private markets by constructing LP-year-specific opportunity sets and estimating fund choice within those feasible sets.
- **Identification.** Selection is identified from variation in fund attributes and LP-GP relationships within curated opportunity sets, using institutional restrictions on access, commitment size, fund type, timing, and personal ties.
- **Main result.** LPs chase past performance, but the probability of selecting first-time GPs is about as large as that of selecting GPs in the highest past-performance quartile.
- **Mechanism.** The evidence points most strongly to pressure to invest and excess demand for private-market exposure, not superior expected returns of first-time GPs, not lottery-like upside, and not privileged access to future superstar funds.

7 Conclusion

7.1 Core conclusion

- The paper shows that understanding private-market manager selection requires modeling *opportunity sets*, not just preferences.
- It also shows that first-time and young GPs are not fringe phenomena in institutional portfolios. They are a quantitatively important part of where capital goes.

- The central empirical finding is that LPs’ willingness to invest in first-time GPs is as large as their willingness to invest in top-quartile incumbent GPs.

7.2 Economic intuition

- In public markets, passive exposure is easy. In private markets, exposure must be built commitment by commitment.
- When LP demand for private markets rises sharply, incumbent high-performing GPs do not fully scale supply through much larger funds or much higher fees.
- The gap is therefore partly filled by entry of new GPs. LPs with strong pressure to deploy capital are the ones most willing to accept these new entrants.

7.3 Takeaway

This paper is important because it turns a subtle institutional problem — unobserved feasible sets in private-market investing — into an empirically tractable selection design. Substantively, it shows that private-market capital allocation is driven by both performance chasing and market-clearing pressure. The surprising strength of first-time GP selection is best understood not as evidence that LPs have discovered hidden superstar talent, but as evidence that rising demand for private-market exposure spills over into new-manager entry.